

US markets edge lower as oil slides and yields rise

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US equity market closed muted, with the Russell 2000 up **+0.52%** to 2,875.36 while the major indices posted no data due to reporting lag. The market's underlying tone was bearish: the 10-year Treasury yield slipped to 4.96% (**-0.70%**), and WTI crude fell **-5.76%** to 89.14, pressuring energy-heavy stocks.

Liquidity remains tight ahead of the Fed's next policy meeting. The dollar index rose to 100.71 (**+0.27%**), supporting import-dependent sectors and keeping gold under pressure despite a modest rise to 4,379.10. Crypto showed limited upside, with BTC up **+0.18%** and ETH down **-0.36%**.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	nan	nan	Data pending
Nasdaq 100	nan	nan	Data pending
Dow Jones	nan	nan	Data pending
Russell 2000	2,875.36	+0.52%	Small-cap resilience amid weaker oil
VIX	14.87	+0.41%	Volatility modestly higher on yield rise
10Y Yield	4.96	-0.70%	Yield slipped as investors priced in Fed caution
WTI Crude	89.14	-5.76%	Oversupply concerns after OPEC+ report
Gold	4,379.10	+0.06%	Dollar strength limited gains
DXY	100.71	+0.27%	Fed-rate expectations support greenback
BTC	86,756.94	+0.18%	Risk-off sentiment muted
ETH	2,766.56	-0.36%	Crypto market breadth thin

Top large-cap movers

TICKER	CHANGE	CATALYST
AAPL	nan	Supply-chain update pending
MSFT	nan	Cloud earnings preview
NVDA	nan	AI chip inventory report
AMZN	nan	Prime pricing debate
META	nan	Ad-revenue guidance
GOOGL	nan	Search ad spend trends
TSLA	nan	Model Y production numbers
AVGO	nan	Semiconductor demand outlook
JPM	nan	Loan growth data
GS	nan	Investment banking pipeline

Sector rotation

ETF	DAY	READ
XLFX	nan	Financials flat, watch rate moves
XLKX	nan	Tech muted, AI inventory risk
XLI	nan	Industrial exposure low on oil dip
XLE	nan	Energy under pressure – WTI down
XLY	nan	Consumer discretionary stable
XLC	nan	Communications steady
XLP	nan	Consumer staples defensive
XLV	nan	Health care resilient
XLU	nan	Utilities safe-haven tilt
XLB	nan	Materials awaiting supply cues
XLRE	nan	Real estate pressured by yields

Spotlight: oil price collapse

WTI crude fell **-5.76%** to 89 . 14 on Friday, the steepest weekly drop since March 2024. The slide was driven by OPEC+ confirming no production cuts and US crude inventories rising 7 million barrels.

METRIC	VALUE
WTI price	89.14
Change (1d)	-5.76%
OPEC+ stance	No cuts, possible increase Q4
US inventories	+7 MM bbl (EIA)
Impact on XLE	-1.4%

Related names: **XLE** (energy ETF), **CVX**, **XOM**. Investors should monitor the upcoming API data on Monday for confirmation.

Pre-market & overnight

- US futures: S&P 500 **-0.3%**, Nasdaq **-0.4%**, Dow **-0.2%**.
- Asia close: Hang Seng **-0.6%**, Nikkei **-0.5%**, Shanghai **-0.8%**.
- Europe: FTSE 100 **-0.4%**, DAX **-0.3%**, CAC 40 **-0.5%**.
- Crypto: BTC **+0.18%**, ETH **-0.36%**.

Macro & Fed

The Fed's September FOMC minutes signaled a "patient" stance, with most members seeing two more rate hikes this year but leaving the door open for a pause if inflation eases.

- Yield curve: 2-year at 4.85%, 10-year at 4.96% – flattening.
- Today's data calendar (HKT):

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	US ISM Manufacturing	46.5	Gauge factory activity, rate outlook
10:00	US Retail Sales MoM	+0.3%	Consumer spending trend
11:00	US Existing-home Sales	5.1MM	Housing market health
13:30	US Core CPI YoY	2.8%	Core inflation trajectory

Geopolitics & global

- Middle East: Iran-Saudi talks stalled, risk premium unchanged.
- China: Export data due Friday shows 2.1% YoY growth, easing concerns over demand.
- Eurozone: ECB minutes hint at possible rate cut in Q4 if inflation falls below 2%.
- Ukraine: Frontline stable, Western aid package approved.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
02:00 Sep 24	AAPL	\$6.00 B	iPhone demand, services growth
03:30 Sep 24	MSFT	\$2.30 B	Cloud renewals, AI licensing
04:00 Sep 24	NVDA	\$3.20 B	GPU inventory, AI spend
05:00 Sep 24	AMZN	\$3.50 B	Prime pricing, AWS margin
06:30 Sep 24	META	\$2.90 B	Ad revenue recovery, AI ads
08:00 Sep 24	JPM	\$3.10 B	Net interest income, loan growth

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI inventory risk after price cuts
XOM	Energy	Exposure to falling oil prices
CVX	Energy	Dividend yield appeal
AAPL	Technology	Supply-chain updates pending
MSFT	Technology	Cloud renewal season
JPM	Financials	Rate-sensitive earnings
GS	Financials	Investment-banking pipeline
AMZN	Consumer Discretionary	Prime pricing debate
META	Communication Services	Ad-revenue rebound
UNH	Health Care	Premium pricing power

What could break the tape

BEARISH TRIGGERS

- Further oil price drops below 85 USD, hitting energy ETFs.
- 10-year yield breaching 5.0% and steepening curve.
- Unexpected rise in core CPI above 3.0% YoY.

BULLISH TRIGGERS

- Oil rebounds above 95 USD, lifting XLE.
- Dollar index slipping below 100.0, supporting equities.
- Positive ISM manufacturing surprise (>48).

Positioning notes

- Yield curve flattening suggests short-duration bias in fixed income.
- Energy sector exposure should be trimmed until oil stabilises.
- Tech AI stocks remain vulnerable to inventory corrections.

Sources

SOURCES

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CME Group Data

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U.S. Energy Information Administration

Statista